

Two Key Terms

- What is a **tariff**?
- A tax on imported goods designed to make domestic goods more appealing to consumers
- What is a **subsidy**?
- Funds provided by a government to domestic producers, which makes domestic goods cheaper and more appealing to domestic customers

Trade Liberalization

- The process of reducing or removing trade barriers, such as tariffs and subsidies
- Protectionism - the opposite of trade liberalization
- When a government uses tariffs and subsidies in order to keep out foreign products

